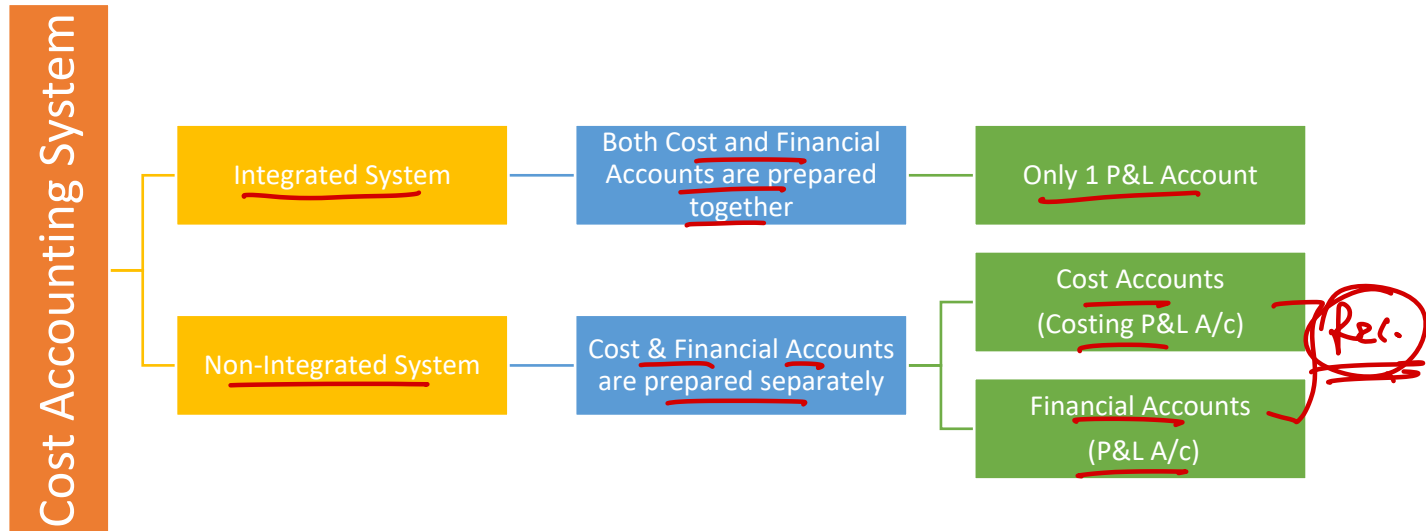


COST ACCOUNTING SYSTEM - CONCEPTS

1. Cost Accounting System



2. Various ledgers to be prepared: (Non-Int. Balis)

Stores Ledger Control Account			
Particulars	₹	Particulars	₹
To Balance b/d	→ Opening Stock	By CLC A/c	Purchase return
To CLC A/c	→ Purchase	By <u>WIP LC A/c</u> (2)	→ D. Mat. Issued
To CLC A/c	→ Carriage Inward	By <u>Prod. OH Control A/c</u>	→ Ind. Mat. Issued
To WIP LC A/c	Material Return	By <u>Prod. OH Control A/c</u>	→ Normal Loss
To Costing P&L A/c	→ Abnormal Gain	By <u>Admin. OH Control A/c</u>	→ Ind. Mat. Issued
		By <u>S&D OH Control A/c</u>	→ Ind. Mat. Issued
		By Costing P&L A/c	→ Ab. Loss
		By Balance c/d (1)	→ Closing stock
	-		-

Wages Control Account			
Particulars	₹	Particulars	₹
To CLC A/c (2)	→ Wages incurred	By <u>WIP LC A/c</u> (1)	→ Direct Wages
		By <u>Prod. OH Control A/c</u>	→ Indirect Wages
		By <u>Admin. OH Control A/c</u>	→ Indirect Wages
		By <u>S&D OH Control A/c</u>	→ Indirect Wages
		By Costing P&L A/c	→ Ab. Idle time
	-		-

OHs Control Account

Particulars	₹	Particulars	₹
To CLC A/c →	OHs incurred	By WIP LC/FGLC/COS A/c (2)	OHs Recovered } Rec.
To SLC A/c →	IM + Nr. Loss	By Bal. C/d or Costing P&L A/c (1)	Under Recovered
To Wages Control A/c →	Indirect Wages		
To Bal. C/d or Costing P&L A/c	Over Recovered		
	-		-

Handwritten notes: Actual, F.OH, A.OH (P), A.OH + S&D OH

Work-in-Progress Ledger Control Account

Particulars	₹	Particulars	₹
To Bal. b/d →	Opening WIP	By FGLC A/c (2)	Net Factory Cost
To SLC A/c →	Direct Mat. Consumed	By Costing P&L A/c	Abnormal Loss
To Wages control A/c →	Direct Wages	By Bal. S/c (1)	Closing WIP
To Prod. OH Control A/c →	OHs Recovered		
To FGLC A/c	FG Return		
	-		-

Handwritten notes: PQ, CFC, D. Exp.

Finished Goods Ledger Control Account

Particulars	₹	Particulars	₹
To Balance b/d →	Opening FG	By COS A/c (2)	COGS
To WIP LC A/c →	Net Factory Cost	By Costing P&L A/c	Abnormal Loss
To Admin. OH Control A/c →	OHs Recovered	By WIP LC A/c	FG Return
(Admin. OH related to Production)		By Balance C/d (1)	Closing FG
	-		-

Handwritten notes: CoP

Cost of Sales Account

Particulars	₹	Particulars	₹
To FGLC A/c →	COGS	By Costing P&L A/c / Bal. C/d (1)	COS
To Admin. OH Control A/c →	OHs Recovered	By FGLC A/c (2) CLC %	Goods Return
To S&D OH Control A/c →	OHs Recovered		
	-		-

Handwritten notes: COS

Costing P&L Account

Particulars	₹	Particulars	₹
To Cost of Sales A/c →	Cost of Sales	By CLC A/c	Sales
To CLC A/c →	Sales Return	By Abnormal profit	-
To Abnormal loss →	-	By CLC A/c (B/F)	Loss
To CLC A/c (B/F)	Profit		
	-		-

4. Points to Remember (PTR)

- (A) In case of no information then use non-integrated method
- (B) Treatment of Overheads
 Transfer to P&L A/c – If due to factory inefficiency
 Show as Balance c/d - If seasonal nature
- (C) Normal loss is transferred to Production OH control A/c
- (D) If question asked to prepare reconciliation and there is no additional item then under-recovery of overhead is carried forward to prepare reconciliation.
- (E) Administration overheads is assumed to be related to production if question is silent.
by giving assumption

Question – 1

Sundar Limited maintains its Cost Accounting System on the basis of Non-Integral System of Accounting. The following transactions arose during the month of August, 2025:

Particulars	Amount (₹)
Materials purchased on credit	10,25,000
Materials issued to production (direct)	5,55,000
Direct wages allocated to production	3,00,000
Factory overheads over-absorbed	2,20,000
Administration overheads under-absorbed	1,40,000

Required:

Journalize the above-mentioned transactions in Cost Books maintained on Non-Integrated System of Accounting.

Solution

			Dr. (₹)	Cr. (₹)
1	Stores ledger control A/c To Cost ledger control A/c ✓ (Materials purchased)	Dr.	10,25,000	10,25,000
2	Work-in-Process Control A/c To Stores Ledger Control A/c ✓ (Material issued to production)	Dr.	5,55,000	5,55,000
3	Work-in-Process Control A/c To Wages control A/c ✓ (Direct wages charged to production)	Dr.	3,00,000	3,00,000
4	Factory overheads control A/c To Costing Profit & Loss A/c ✓ (Factory overheads over absorbed)	Dr.	2,20,000	2,20,000
5	Costing Profit & Loss A/c To Administrative OH control A/c ✓ (Admin. Overheads under absorbed)	Dr.	1,40,000	1,40,000

Question – 2

Journalize the following transactions assuming that cost and financial accounts are integrated:

Particulars	Amount (in ₹)
Wages paid (20% indirect)	2,00,000
Selling and Distribution Overheads incurred	50,000
Deficiency found in stock of raw material (Normal)	80,000
Factory overheads (Under Absorbed)	60,000

→ Wages To Bank
WIP LC 1.608
F.OH 0.401 To Wages
→ S.D.DH To Bank
→ F.OH To SLC
→ P&L To F.OH

Solution

Particulars		(₹)	(₹)
Work-in-Progress Ledger Control A/c	Dr.	1,60,000	
Factory Overhead Control A/c	Dr.	40,000	
To Wages Control A/c			2,00,000
(Being allocation of direct and indirect wages)			
Wages Control A/c	Dr.	2,00,000	
To Bank A/c			2,00,000
(Being wages paid)			
Cost of Sales A/c	Dr.	50,000	
To Selling & Distribution OH Control A/c			50,000
(Being selling & distribution overhead allocated)			
Selling & Distribution OH Control A/c	Dr.	50,000	
To Bank A/c			50,000
(Being selling & distribution overhead paid)			
Factory overhead control A/c	Dr.	80,000	
To Stores Ledger Control A/c			80,000
(Being normal deficiency found in stock of raw material)			
Costing P & L A/c	Dr.	60,000	
To Factory Overhead Control A/c			60,000
(Being transfer of under absorption of factory overhead)			

Question – 3

The following balances were extracted from a Company's ledger as on 30th June, 2018

	Debit (₹)	Credit (₹)
Raw material control A/c →	2,82,450	
Work-in-progress control A/c →	2,38,300	
Finished stock control A/c →	3,92,500	
General ledger adjustment A/c (Non - Inv)		9,13,250
	9,13,250	9,13,250

The following transactions took place during the quarter ended 30th September, 2018:

Factory overheads – allocated to work-in-progress

₹
1,36,350 → WIP To F.OH

Goods finished – at cost → NFC → 13,76,200 → FhLLC To WIP
 Raw material purchased SLC To CLC → 12,43,810
 Direct wages – allocated to work-in-progress → 2,56,800 WIP To Wages
 Cost of goods sold → WS To FhLLC → 14,56,500
 Raw materials – issued to production → 13,60,430 WIP To RM
 Raw materials – credited by suppliers → Birth. Return CLA At To RM → 27,200
 Raw materials losses – inventory audit → Ab. loss → 6,000 → C P&L To RM
 Work-in-progress rejected (with no scrap value) → Ab. loss → CP&L To WIP → 12,300
 Customer's returns (at cost) of finished goods FLC At To CLC At → 45,900
 You are required to prepare:

- Raw material control a/c
- Work-in-progress control a/c
- Finished stock control a/c
- General ledger adjustment a/c

Solution**Raw Material Control A/c**

To Balance B/d	✓ 2,82,450	By General Ledger Adj. A/c	✓ 27,200
To General Ledger Adj. A/c	✓ 12,43,810	By Work in Progress Control A/c	✓ 13,60,430
		By Costing P&L A/c (Loss)	✓ 6,000
		By Balance c/d (Balance figure)	1,32,630
	15,26,260		15,26,260

Work in Progress Control A/c

To Balance b/d	✓ 2,38,300	By Finished goods Control A/c	✓ 13,76,200
To Raw material control A/c	✓ 13,60,430	By Costing P&L A/c	✓ 12,300
To Wages control A/c	✓ 2,56,800	By Balance c/d (Balancing Figure)	6,03,380
To Factory OH control A/c	✓ 1,36,350		
	19,91,880		19,91,880

Finished Stock Ledger Control A/c

To Balance b/d	✓ 3,92,500	By Cost of Sales A/c	✓ 14,56,500
To Work in Progress Control A/c	✓ 13,76,200	By Balance c/d (Bal. Fig.)	3,58,100
To General Ledger Adjustment A/c	✓ 45,900		
	18,14,600		18,14,600

General Ledger Adjustment A/c

<u>Bal. c/d</u> To Costing P&L (Sales) (Bal. fig.)	25,68,910	By Balance B/d	✓ 9,13,250
To Raw material control A/c	27,200	By Raw material control a/c	12,43,810
		By Wages control A/c	2,56,800
		By Factory OH control A/c	1,36,350
		By Finished Goods Control A/c	✓ 45,900
	25,96,110		25,96,110

Question – 4

Amy Ltd. uses a batch costing system that is fully integrated with its financial accounts. Balances at the beginning of the period is provided below:

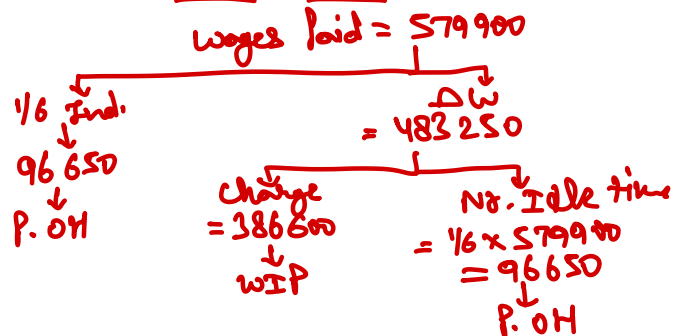
Particulars	₹
Stores Ledger Control Account →	4,83,250
Work-in-Process Control Account →	3,86,600
Finished Goods Control Account →	6,76,550

Other information is as under:

Material purchased during the period	₹ 14,49,750	→ SLC To Crs.
Material issued to production <u>WIP To SLC</u>	→ 5,79,900	
Total <u>wages</u> paid (1/6th being indirect)	→ 5,79,900	
Direct <u>wages</u> charged to batches	→ 3,86,600	
Payment for non-productive time of direct workers (1/5th of direct wages paid) <u>(No. Idle Time)</u>	→ 2,31,960	
Production Overheads incurred	→ 19,33,000	P.OH To Profit
Sales	→ 15,46,400	
Cost of Finished Goods Sold (COGS) → C.ML To FGCC	→ 12,56,450	
Cost of <u>Goods</u> completed and <u>transferred</u> into finished goods during the period <u>(NFC) FGCC To WIP</u>	→ 7,73,200	
Physical value of Work-in-Process at the end of the period		
Production overhead absorption rate <u>WIP To P.OH</u>	130% of direct wages charged to Work-in-Process	130% of 3,86,600 = 502,580

You are required to prepare the following accounts:

- Stores Ledger Control Account.
- Wages Control Account.
- Production Overhead Control Account.
- Work-in-Process Control Account.
- Finished Goods Control Account.
- Costing Profit and Loss Account.

**Solution****Stores Ledger Control Account**

To Balance b/d ✓	4,83,250	By Work-in-Progress control A/c ✓	5,79,900
To Creditors A/c ✓	14,49,750	By Balance c/d	13,53,100
	19,33,000		19,33,000

Wages Control Account

To Bank A/c	✓ 5,79,900	By WIP Control A/c	✓ 3,86,600
		By Production <u>OHs</u> Control A/c	✓ 96,650
		(1/6 th of 5,79,900) (indirect wages)	
		By Production <u>OHs</u> Control A/c	✓ 96,650
		[1/5 th of (5,79,900 – 96,650)	
		(Non-productive wages)	
	5,79,900		5,79,900

Production Overheads Control Account

To Bank A/c	✓ 2,31,960	By Work-in-Progress	✓ 5,02,580
To Wages Control A/c (96650 + 96650)	1,93,300		
To Costing P&L A/c	77,320		
(Over Recovery)			
	5,02,580		5,02,580

Work-in-Progress Control Account

To Balance b/d	✓ 3,86,600	By Finished Goods Control A/c	✓ 12,56,450
To Stores Ledger Control A/c	✓ 5,79,900	By Balance c/d	✓ 7,73,200
To Wages Control A/c	✓ 3,86,600		
To Production OH Control A/c	✓ 5,02,580		
To Costing P&L A/c (Gain)	1,73,970		
	20,29,650		20,29,650

Finished Goods Ledger Control Account

To Balance b/d	✓ 6,76,550	By Costing P&L A/c (COGS)	✓ 15,46,400
To WIP Control A/c	✓ 12,56,450	By Balance c/d	3,86,600
	19,33,000		19,33,000

Costing P&L Account

To Finished Goods Control A/c	✓ 15,46,400	By Sales A/c	✓ 19,33,000
To Balance c/d (Bal. fig.)	6,37,890	By Production OH Control A/c	✓ 77,320
		By WIP Control A/c	✓ 1,73,970
	21,84,290		21,84,290

Question – 5

A fire destroyed some accounting records of a company. You have been able to collect the following from the spoilt papers/records and as a result of consultation with accounting staff in respect of January:

(i) Incomplete Ledger Entries

Raw Material A/c			
(Production) Crd. A/c	₹ 92,000	WIP	₹ 53,000
Beginning Inventory	32,000	Cr. Inv.	71,000

RM Ac			
		52,000	Work in Progress A/c
ORs (7000 × 4)	28,000		
Wages (7000 × 10)	70,000		
Beginning Inventory	9,200	Finished Stock	151,000
		92,000	

Creditors A/c			
Bank	89,200	(Purch.) RM Ac	92,000
Closing Balance	19,200	Opening Balance	16,400

Manufacturing Overheads A/c			
	₹		₹
Amount Spent	29,600	WIP (7000 × 4)	28,000
		CP4C	1,600

Finished Goods A/c			
	₹		₹
WIP	1,51,000	COS (B/F)	1,45,000
Opening Inventory	24,000	Closing Inventory	30,000

(ii) Additional Information:

- The cash book showed that ₹ 89,200 have been paid to creditors for raw material
- Ending inventory of work in progress included material ₹ 5,000 on which 300 direct labour hours have been booked against wages and overheads
- The job card showed that workers have worked for 7,000 hours. The wage rate is ₹ 10 per labour hour.
- Overhead recovery rate was ₹ 4 per direct labour hour.

You are required to complete the above accounts in the cost ledger of the company.

WIP
Mat. 5000
Wages = 300 × 10 = 3000
ORs = 300 × 4 = 1200
9200

Solution

Raw Material Control A/c

To Balance b/d	32,000	By Work-in-progress	53,000
To Creditors	92,000	By Balance c/d (B/F)	71,000
	1,24,000		1,24,000

Work in Progress Control A/c (WIP)

To Balance b/d	9,200	By Finished Goods Ledger Control	1,51,000
To Raw Material Control (B/F)	53,000	By Balance c/d	
To Wages Control (7,000 × 10)	70,000	Material	5,000
To Manufacturing Overhead	28,000	Wages (300 × 10)	3,000
		Overheads (300 × 4)	1,200
	1,60,200		9,200
			1,60,200

Creditors A/c

To Bank	89,200	By Balance b/d	16,400
To Balance c/d	19,200	By Material (Purchase) (B/F)	92,000
	1,08,400		1,08,400

Manufacturing Overheads A/c

To Amount Spent	29,600	By Work-in-progress (7,000×4)	28,000
		By P&L (B/F)	1,600
	29,600		29,600

Finished Goods A/c

To Opening inventory	24,000	By Cost of Sales (B/F)	1,45,000
To Work-in-progress	1,51,000	By Closing Inventory	30,000
	1,75,000		1,75,000

Question – 6

Following are the figures extracted from the Cost Ledger of a manufacturing unit:

Stores:

Opening balance	→ 15,000
Purchases <i>SLC to CLL</i>	→ 80,000
Transfer from WIP <i>→ SLC to WIP</i>	→ 40,000
Issue to WIP <i>→ WIP to SLC</i>	→ 80,000
Issue to repairs and maintenance <i>→ OH to SLC</i>	→ 10,000
Sold as a special case at cost <i>→ CLL to SLC</i>	→ 5,000
Shortage in the year <i>→ No. loss → OH to SLC</i>	→ 3,000

Work-in-Process:

Opening inventory	→ 30,000
Direct labour cost charged	→ 30,000
Overhead cost charged <i>(Rec.)</i>	→ 1,20,000
Closing balance	→ 20,000

Finished Products:

Entire output is sold at 10% profit on actual cost from work-in-process.

Others:

Wages for the period	35,000
Overhead expenses	→ 1,25,000

Ascertain the profit or loss as per financial accounts and cost accounts and reconcile them.

→ 5000 Ind. Lab.

Solution**Stores Ledger Control Account**

To Balance b/d	✓ 15,000	By Work-in-Progress	✓ 80,000
To Cost Ledger Adjustment A/c	✓ 80,000	By Overhead A/c	✓ 10,000
To Work-in-Progress A/c	✓ 40,000	By Cost Ledger Control A/c	✓ 5,000
		By Overhead A/c (shortage)*	✓ 3,000
		By Balance c/d	37,000
	1,35,000		1,35,000

*Assumed normal

Wages Control Account

To Cost Ledger Control A/c	→ 35,000	By WIP Control A/c	→ 30,000
		By Overheads Control A/c	→ 5,000
	10,92,000		35,000

Overheads Control Account

To Stores Ledger Control A/c	✓ 10,000	By Work-in-Progress	✓ 1,20,000
To Stores Ledger Control A/c	✓ 3,000	By Balanced c/d	✓ 23,000
To Wages Control A/c	✓ 5,000		
To Cost Ledger Control A/c	✓ 1,25,000		
	1,43,000		1,43,000

Work-in-Progress Control Account

To Balance b/d	✓ 30,000	By Stores Ledger Control A/c	✓ 40,000
To Stores Ledger Control A/c	✓ 80,000	By Costing Profit & Loss A/c	2,00,000
To Wages Control A/c	✓ 30,000	(Finished Goods at Cost Bal. Fig.)	
To Overhead A/c (Applied)	✓ 1,20,000	By Balance c/d	✓ 20,000
	2,60,000		2,60,000

Costing Profit & Loss Account

To Work-in-Progress A/c	✓ 2,00,000	By General Ledger Adjustment A/c	✓ 2,20,000
To General Ledger Adjustment A/c	20,000	Sale (<u>2,00,000 + 10%</u>)	
(Profit)	2,20,000		2,20,000

Financial Profit & Loss Account

To <u>Material (op. + Purchase – sale)</u>	✓ 90,000	By Sales A/c	→ 2,20,000
To Opening WIP	→ 30,000	By Closing WIP	→ 20,000
To Wages	→ 35,000	By Closing stock of raw material	→ 37,000
To Overhead expenses	→ 1,25,000	By Net loss	3,000
	2,80,000		2,80,000

Reconciliation Statement

Profit as Per Cost Account	→ 20,000
Less: Under Absorption of Overhead	(23,000)
Loss as per Financial Accounts	→ (3,000)

4. Reasons for Reconciliation

(I) Items shown only in financial accounts

(A) Purely Financial Expenses:

- (a) Interest on loans or bank mortgages
- (b) Expenses and discounts on issue of shares, debentures etc.
- (c) Other capital losses i.e., loss by fire not covered by insurance etc.
- (d) Losses on the sales of fixed assets and investments
- (e) Income tax, donations, subscriptions
- (f) Expenses of the company's share transfer office, if any.

(B) Purely Financial Income

- (a) Interest received on bank deposits, loans and investments
- (b) Dividends received
- (c) Profits on the sale of fixed assets and investments
- (d) Transfer fee received
- (e) Rent receivables.

(II) Items shown only in cost accounts

- Salary or own manager at notional figures though not incurred. (Notional salary)
- A charge in lieu of rent when premises are owned and no rent is payable. (Notional Rent)

(III) Under or over recovery of overheads in cost accounts

(IV) Different basis for valuation of stock

- In cost accounts stock is valued on the basis of Cost of Production i.e. including administration overheads related to production
- In financial accounts stock is valued on the basis of Material, Labour and Factory Overheads.

(V) Basis of Depreciation

Format of Reconciliation Statement

Particulars	Amount
Profit as per Cost Accounts	-
(-) Expenses in P&L only	-
(+) Income in P&L only	-
(-) Appropriations in P&L only	-
(-) Under recovered OHs in cost accounts	-
(+) Over recovered OHs in cost accounts	-
(-) Under-valued opening stock in cost accounts	-
(+) Over valued opening stock in cost accounts	-
(-) Over valued closing stock in cost accounts	-
(+) Under-valued closing stock in cost accounts	-
(+) Expenses in cost accounts only	-
Total	-
Profit as per P&L Account	-

Question – 7

R Ltd. showed a Net profit of ₹ 3,60,740 as per their cost accounts for the year ended 31st March, 2021. The following information was revealed as a result of scrutiny of the figures from the both sets of accounts.

Sr. No.	Particulars	(₹)
i.	Over recovery of selling overheads in cost accounts	+ 10,250
ii.	Over valuation of closing stock in cost accounts	- 7,300
iii.	Rent received credited in financial accounts	+ 5,450
iv.	Bad debts provided in financial accounts	- 3,250
v.	Income tax provided in financial accounts	- 15,900
vi.	Loss on sale of capital asset debited in financial accounts	- 5,800
vii.	Under recovery of administration overheads in cost accounts	- 3,600

Required to prepare a reconciliation statement showing the profit as per financial records. 3,70,590

Solution**Reconciliation Statement**

Particulars	+ (₹)	- (₹)
Profit as per cost accounts	3,60,740	-
Add: Over recovered selling OHs	10,250	-
Less: Over valued closing stock in cost accounts	-	7,300
Add: Rent received credited in financial accounts	5,450	-
Less: Bad Debts provided in financial accounts	-	3,250
Less: Income tax provided in financial accounts	-	15,900
Less: Loss on sale of capital assets in financial accounts	-	5,800

Less: Under recovered administration overheads in cost	-	3,600
	3,76,440	35,850
Loss as per financial account	-	3,40,590

Question – 8

The following information has been obtained from financial accounting and cost accounting records. *Costing P/B*

	<u>Financial Accounting (₹)</u>	<u>Cost Accounting (₹)</u>	
(i) Factory overhead	94,750	<i>under Rec. = 4750</i> 90,000	<i>Inc.</i>
(ii) Administrative overhead	60,000	<i>under Rec. = 3000</i> 57,000	<i>Inc.</i>
(iii) Selling overhead	55,000	<i>over Rec. = 6000</i> 61,000	<i>Dec.</i>
(iv) Opening stock	17,500	<i>over val. = 5000</i> 22,500	<i>Dec.</i>
(v) Closing stock	12,500	<i>over val. = 2500</i> 15,000	<i>Inc.</i>

Required: Indicate under-recovery and over-recovery and their effects on cost accounting profit.

[Note: You are not required to prepare reconciliation statement]

Solution

	<u>Financial Accounting (₹)</u>	<u>Cost Accounting (₹)</u>	<u>Difference (₹)</u>	<u>Under/Over recovery</u>	<u>Effect on cost accounting profit</u>	<u>Net effect on cost accounting profit*</u>
Factory overheads	94,750	90,000	4,750	Under-recovery	Increased	To be reduced or deducted
Administrative overheads	60,000	57,000	3,000	Under-recovery	Increased	To be reduced or deducted
Selling overheads	55,000	61,500	-6,500	Over-recovery	Decreased	To be added
Opening stock	17,500	22,500	-5,000	Over valuation	Decreased	To be added
Closing stock	12,500	15,000	-2,500	Over valuation	Increased	To be reduced or deducted

*Taking cost accounting profit as base

Question – 9

NT Ltd. showed a net loss of ₹ 9,000 as per their cost accounts for the year ended 31-03-2025. However, the financial books disclosed a net profit of ₹ 7,000 for the same period. The following information was revealed as a result of scrutiny of the figures of both the sets of books:

	<u>Cost A/c → (₹)</u>	
Factory overheads <u>absorbed</u> → <i>Costing Data</i>	<i>45000</i> - 52,000	= + 7000
Selling & distribution overhead <u>over absorbed</u>	6,000	→ + 6000

Pft. as per P&L = P&L Cost + Adj. + Mat. Adj.
 7000 = -1300 + Mat. Adj.
 ↓
 Mat. Adj. = 8300

Administrative overheads under absorbed	7,500
Interest on loan → P&L only	→ 8,800
Dividend received	→ 9,000
Factory overheads charged → A/u Data	✓ 45,000
Depreciation charged in financial accounts	42,000
Depreciation charged in cost accounts	45,000

3000

There is the difference in the value of closing stock of finished goods due to varying basis of valuation. 500 units of closing stock is valued at ₹ 41,000 in cost accounts whereas market price per unit of closing stock is ₹ 80 per unit.

A/u = 500 × 80 = 40000 → 1000 Diff

It is found that there is still a difference in the reconciliation statement after considering all of the above which is due to the excess of raw material consumption in cost accounts.

Prepare:

- A reconciliation statement taking net loss as per cost accounts as base, and
- Find out the excess of material consumption during the period in cost accounts effectuated the difference in reconciliation.

Solution

(i) Reconciliation Statement

	(₹)
Net loss as per cost records	(9,000)
Add: Excess of material consumption (see part – ii)	8,300
Add: Factory overheads over absorbed (52,000 – 45,000)	7,000
Add: Selling & Distribution overhead over absorbed	6,000
Add: Dividend received	9,000
Add: Depreciation over charged (45,000 – 42,000)	3,000
Less: Administration overheads under absorbed	(7,500)
Less: Interest on loan	(8,800)
Less: Over valuation of closing stock of finished goods [41,000 – (80 × 500)]	(1,000)
Profit as per financial records	7,000

(ii) Statement showing calculation of excess of material consumption

	(₹)
Net loss as per cost records	(9,000)
Add: Excess of material consumption (see part – ii)	Y
Add: Factory overheads over absorbed (52,000 – 45,000)	7,000
Add: Selling & Distribution overhead over absorbed	6,000
Add: Dividend received	9,000
Add: Depreciation over charged (45,000 – 42,000)	3,000
Less: Administration overheads under absorbed	(7,500)
Less: Interest on loan	(8,800)
Less: Over valuation of closing stock of finished goods	(1,000)

$$[41,000 - (80 \times 500)]$$

Profit as per financial records

Y - 1,300

Therefore, $Y - 1,300 = 7,000$

Thus, $Y = 8,300$

Excess of material consumption during the period in cost accounts is ₹ 8,300.

$$\text{Rec.} = \frac{\text{Fin. OH}}{\text{N.O. Cap.}} \times \frac{\text{Actual Cap.}}{\text{A. Cap.}} \times \text{A. Cap.}$$

$\frac{\text{F. OH}}{\text{N.O. Cap.}} \times \text{Actual Cap.}$
 $\frac{\text{V. OH}}{\text{A. Cap.}} \times \text{Actual Cap.}$

Question – 10

The profit and loss account of ABC Ltd. for the year ended 31st March, 2021 is given below:

Profit and Loss Account (for the year ended 31st March, 2021)

To Direct Material	→ 6,50,000	By Sales	→ 15,00,000
To Direct Wages	→ 3,50,000	(15,000 units)	
To Factory overheads	→ 2,60,000	By Dividend received	→ 9,000
To Administrative overheads	→ 1,05,000		
To Selling overheads	→ 85,000		
To loss on sale of investments	→ 2,000		
To Net Profit	→ 57,000		
	15,09,000		15,09,000

Prod. units = Sales + Cl. - Op.
 $= 15,000 + 0 - 0$
 $= 15,000$

- Factory overheads are 50% fixed and 50% variable
- Administrative overheads are 100% fixed
- Selling overheads are completely variable
- Normal production capacity of ABC Ltd. is 20,000 units
- Indirect expenses are absorbed in the cost accounts on the basis of normal production capacity.
- Notional rent of own premises charged in cost accounts is amounting to ₹ 12,000. (only costing)

You are required to:

- Prepare a cost sheet and ascertain the Profit as per cost Records for the year ended 31st March, 2021.
- Reconcile the profit as per Financial records with Profit as per Cost Records.

Solution

(i) Cost Sheet

Particulars	Amount
Raw material consumed	✓ 6,50,000
Direct wages	✓ 3,50,000
Prime Cost	→ 10,00,000
Add: Fixed factory overheads $\left(\frac{2,60,000 \times 50\%}{20,000} \times 15,000\right)$	✓ 97,500
Add: Variable factory overheads $(2,60,000 \times 50\%)$	✓ 1,30,000
	2,27,500

Add: Notional rent of own premises	4 12,000
GFC/NFC/COP/COGS	12,39,500
Add: Administrative overheads $\left(\frac{1,05,000}{20,000} \times 15,000\right)$	→ 78,750
Add: selling & Distribution overheads $\left(\frac{85,000}{15,000} \times 15,000\right)$	85,000
Cost of Sales	14,03,250
Add: Profit (Balancing figure)	96,750
Sales	15,00,000

(ii) Reconciliation Statement

Particulars	+ (₹)	- (₹)
Profit as per <u>P&L Account</u>	57,000	-
Add: Under recovered factory overheads (2,60,000 – 2,27,500)	✓ 32,500	-
Less: Notional rent of own premises	-	✓ 12,000
Add: Under recovered administrative overheads (1,05,000 – 78,750)	✓ 26,250	-
Add: Loss on sale of investment	✓ 2,000	-
Less: Dividend received	-	✓ 9,000
Total	1,17,750	21,000
Profit as per Cost Account	96,750	-

Question – 11

$$\text{Prod.} = \text{Sales} + \text{Cl.} - \text{Op.} = 12615 + 415 - 625 = 12405$$

The financial books of a company reveal the following data for the year ended 31st March, 2021:

Particulars	₹
<u>Opening Stock:</u>	
Finished goods 625 units	→ ✓ 53,125
Work-in-process	→ ✓ 46,000 ✓
<u>01.04.2020 to 31.03.2021</u>	
Raw materials consumed	✓ 8,40,000 ✓
Direct labour	✓ 6,10,000 ✓
Factory overheads	✓ 4,22,000
Administration overheads (production related)	✓ 1,98,000
Dividend paid	✓ 1,22,000
Bad Debts	✓ 18,000
Selling and Distribution Overheads	✓ 72,000
Interest received	✓ 38,000
Rent received	✓ 46,000
Sales 12,615 units	✓ 22,80,000

Closing stock: Finished goods 415 units	→ 45,650
Work-in-process	→ 41,200 ✓

The cost records provide as under:

- Factory overheads are absorbed at 70% of direct wages
- Administration overheads are recovered at 15% of factory cost
- Selling and distribution overheads are charged at ₹ 3 per unit
- Opening stock of finished goods is valued at ₹ 120 per unit
- The company values work-in-process at factory cost for both Financial and Cost Profit Reporting.

Required:

- Prepare a statement for the year ended 31st March, 2021. Show
 - The profit as per financial records
 - The profit as per costing records
- Prepare a statement reconciling the profit as per costing records with the profit as per Financial Records.

Solution

(a) Statement of Profit as per Financial Records

Particulars	₹	Particulars	₹
To Opening stock of Finished goods	✓ 53,125 ✓	By Sales	✓ 22,80,000 ✓
To work-in-process	✓ 46,000 ✓	By Closing stock of Finished Goods	✓ 45,650 ✓
To Raw materials consumed	✓ 8,40,000 ✓	By Work-in-process	✓ 41,200 ✓
To Direct labour	✓ 6,10,000 ✓	By Rent received	✓ 46,000 ✓
To Factory overheads	✓ 4,22,000 ✓	By Interest received	✓ 38,000 ✓
To Administration overheads	✓ 1,98,000 ✓		
To Selling & Distribution overheads	✓ 72,000 ✓		
To Dividends paid	✓ 1,22,000 ✓		
To Bad Debts	✓ 18,000 ✓		
To Profit	69,725		
	24,50,850		24,50,850

Units produced = Units sold + Closing stock – opening stock = 12,615 + 415 – 625 = 12,405

Statement of Profit as per Costing Records

Particulars	₹
Raw material consumed	✓ 8,40,000 ✓
Direct labour	✓ 6,10,000 ✓
Prime cost	✓ 14,50,000 ✓

Factory overheads ($6,10,000 \times 70\%$)	✓ 4,27,000 ✓
Factory cost	18,77,000
Add: Opening WIP	✓ 46,000 ✓
Less: Closing WIP	✓ (41,200) ✓
Factory cost of goods purchased	= 18,81,800
Add: Administration overheads ($15\% \times 18,81,800$)	✓ 2,82,270 ✓
Cost of Production	21,64,070
Add: Opening stock (625×120)	✓ 75,000 ✓
Less: Closing stock ($\frac{21,64,070}{12,405} \times 415$)	→ (72,397) ✓
Cost of goods sold	21,66,673
Selling and distribution overheads ($12,615 \times 3$)	→ 37,845 ✓
Cost of sales	→ 22,04,518
Profit (Bal. fig.)	75,482
Sales	→ 22,80,000

(b) Reconciliation Statement

Particulars	+ (₹)	- (₹)
Profit as per cost accounts	75,482	-
Add: Over absorbed administration overheads	→ 84,270	-
Add: Over-valued opening stock of finished goods	→ 21,875	-
Add: Interest received	→ 38,000	-
Add: Rent received	→ 46,000	-
Add: Factory overheads over absorbed	→ 5,000	-
Less: Selling & distribution overheads under recovered	-	→ 34,155
Less: closing stock overvalued	-	→ 26,747
Less: Dividend	-	→ 1,22,000
Less: Bad debts	-	→ 18,000
	2,70,627	2,00,902
Profit as per financial accounts	69,725	-

Note – It is assumed that administration overheads are related to production.